

RESIDENTIAL LEASE AGREEMENT

THE PARTIES. This residential lease agreement ("Agreement"), dated January 1, 2025, by and between:

LANDLORD: The Landlord is a business entity known as Heryford Investments, LLC of Post Office Box 1722, Murphys, California, 95247-1722, hereinafter known as the "Landlord", and

TENANT: An individual, Scott Klann, who will be residing in the property, namely, the "Tenant" for which this agreement is made. The parties agree to the following:

II. OCCUPANT(S). The Premises described in Section III is to be occupied as a residential dwelling and occasionally an event venue by the Tenant.

III. LEASED PREMISES. The Landlord hereby rents to Tenant, subject to the terms and conditions of this Agreement, the residential home and adjoining renovated garage/outbuilding with an address of 433 E. Highway 4, Murphys, California, 95247, consisting of 5 bedrooms, and 3 baths (the "Premises"). The Landlord shall send the Tenant any notices to the mailing address shown in this Lease under NOTICES.

IV. PURPOSE. The Tenant may only use the Premises as a residential dwelling and occasionally an event venue. It may not be used for storage, manufacturing of any type of food or product, professional service(s), or for any commercial use, unless otherwise stated in this Agreement.

V. FURNISHINGS. The Premises is not furnished. Tenant will move in furniture and furnishings.

VI. APPLIANCES. The Landlord shall provide the following appliances: Refrigerator, Oven, Stove, Plumbing Fixtures (Including Faucets, Fittings, Trims, Motors, Water Treating Equipment, etc.), Fan(s), Smoke Detector(s), Hot Water Heater, HVAC Equipment, Lighting Fixtures, Thermostats and Controls, all of which shall be on the Premises and new and functional upon the move-in date of the Tenant(s) ("Appliances and Fixtures").

Any damage caused to the Appliances and Fixtures from negligence, carelessness, accidents, or abuse shall be the liability of the Tenant(s) entirely. Any damage to the Appliances and Fixtures shall be assessed in the following manner: Landlord will pay for damages due to normal wear and tear. Tenant will pay for damages due to Tenant's negligence.

VII. LEASE TERM. The term of this Agreement shall commence on January 1, 2025, and continue on a month-to-month tenancy. The option to terminate said month-to-month tenancy will happen if the Landlord or Tenant notifies the other party within at least thirty (30) days or the minimum notice period authorized by state law, whichever is longer.

VIII. RENT. Tenant shall pay the Landlord a monthly base rent of \$3,000.00 ("Rent"). The Tenant will also pay the following utilities and services: Water, Sewer, Trash Removal, a portion of insurance and property taxes. Landlord will bill Tenant each month for Tenant's share of the above. The Rent will be due on the First (1st) of every month ("Rent Due Date"), and Rent shall be paid by sending payment to the Landlord's aforementioned mailing address or hand delivered.

IX. NON-SUFFICIENT FUNDS (NSF CHECKS). If Tenant attempts to pay Rent with a check, electronic transaction, or through any other means authorized by this Agreement, that fails to clear the transaction of Rent funds due to non-sufficient funds ("NSF"), there shall be a fee of \$50.00.

X. LATE FEE. If Tenant fails to pay Rent on the Rent Due Date, there shall be a late fee assessed by the Landlord in the amount of \$50.00 per occurrence for each Rent payment that is late after the 11th day following the Rent Due Date.

XI. FIRST (1ST) MONTH'S RENT. First (1st) month's Rent payment shall be due by Tenant upon the start of the Lease Term.

XII. PRE-PAYMENT. The Landlord shall not require any pre-payment of Rent by the Tenant(s).

XIII. PRORATION PERIOD. The Tenant(s) has moved into the Premises before the start of the Lease Term.

XIV. SECURITY DEPOSIT. No security deposit is required.

XV. POSSESSION. Since the Tenant has lived in the premises prior to this lease, he accepts the condition of the Premises and finds the premises in perfect order and consents to take possession of the Premises in its current condition unless otherwise stated herein.

XVI. OPTION TO PURCHASE. Tenant shall have the first right to purchase the Premises unless the Landlord and Tenant agree otherwise in writing.

XVII. ACCESS. The Landlord as given previously access to the Tenant in the form of keys, fobs, cards, or any type of keyless security entry device needed to enter the Premises. If any access devices are lost and duplicates are needed, the Landlord may provide them for a reasonable fee. At the end of this Agreement, any keys, fobs, cards, or keyless entry devices provided to the Tenant shall be returned to the Landlord or a fee will be billed directly to the Tenant.

XVIII. MOVE-IN INSPECTION. Tenant has already accepted possession as described in Section XV of this Agreement, and no inspection documenting the present condition of all Appliances, Fixtures, Furnishings, and any existing damage within the Premises are necessary.

XIX. SUBLETTING. The Tenant shall NOT have the right to sublet the Premises or any part thereof without the prior written consent of the Landlord. If consent is granted by the Landlord, the Tenant will be responsible for all actions and liabilities of the sublessee, including but not limited to any damage to the Premises, nonpayment of Rent, and eviction procedures. In the event of an eviction, the Tenant shall be responsible for all court filing fees, legal representation, and any other fees associated with removing the sublessee. The express written consent from the Landlord for one sublet agreement shall not authorize consent for any subsequent sublet agreements, and in such case, the Tenant must seek consent from the Landlord for the subsequent sublet agreement.

XX. ABANDONMENT. If the Tenant abandons or otherwise vacates the Premises for a period equal to the minimum period set by state law or seven (7) days, whichever is less, the Landlord shall have the right to terminate this Agreement immediately and remove all personal belongings, including any personal property of the Tenant, from the Premises in the manner prescribed by state and local laws.

XXI. ASSIGNMENT. The Tenant shall NOT assign or otherwise transfer the residential lease interest described in this Agreement without first obtaining the written consent of the Landlord. Written consent from the Landlord for one assignment shall not authorize consent for any subsequent assignments, and in such case, the Tenant must seek consent from the Landlord for subsequent assignments.

XXII. PARKING. The Landlord shall provide the Tenant additional parking around Tenant's home. It is understood by the parties that the commercial building located next to the residence on the property will be leased, and additional parking for that commercial building will be in front of, on the side of and in back of the commercial building. The tenant of that commercial building will be notified of their designated parking areas which will include to the right designated with wood poles.

XXIII. RIGHT OF ENTRY. The Landlord shall have the right to enter the Premises during normal working hours by providing notice in accordance with the minimum state and local requirements in order to conduct inspections, make necessary repairs, alterations or improvements, supply services as previously agreed, and for any other reasonable purposes. The Landlord may exhibit the Premises to prospective purchasers, mortgagees, or lessees upon reasonable notice to the Tenant.

XXIV. SALE OF PROPERTY. If the Landlord decides to sell the premises, the Tenant is to be notified of the sale, and will be given first rights to purchase the residence. If the Premises is conveyed to another owner, the Tenant understands that the new owner may wish to occupy the premises, and the Tenant will need to make arrangements to vacate the premises.

XXV. UTILITIES. The Tenant will pay the following utilities and services: Water, Sewer, Trash Removal, a portion of insurance and property taxes. Landlord will bill tenant each month for Tenant's share of the above, and per attached schedule.

XXVI. MAINTENANCE, REPAIRS, OR ALTERATIONS. Tenant at all times shall, at his/her own expense unless otherwise stated in this Agreement, maintain the Premises in a clean and sanitary

manner, and shall surrender the same at termination hereof, in as good condition as received, normal wear and tear excepted. The Tenant may not make any alterations to the Premises without the written consent of the Landlord. The Landlord shall be responsible for structural repairs to defects in the interior and exterior of the Premises. The Landlord shall be responsible for repairs and maintenance to Appliances and Fixtures caused by normal wear and tear, which occurs naturally and not through negligence, accidents, or abuse of Tenant, additional occupants or any Guest.

Landscaping shall be maintained by Tenant within the brick walls and fencing. Landlord will take care of everything outside the brick wall and fencing.

XXVII. EARLY TERMINATION. Tenant may not cancel this Agreement unless the Tenant is a victim of domestic violence, and in such case, the Tenant may be able to cancel in accordance with any local, state, or federal laws.

XXVIII. PETS. The Tenant shall be allowed to have pets on the Premises. No additional "pet fee" will be assessed.

XXIX. WASTE. The Tenant agrees not to commit waste on the Premises, maintain, or permit to be maintained, a nuisance thereon, or use, or permit the Premises to be used, in an unlawful manner.

XXX. NOISE. The Tenant agrees to abide by any and all local, county, and state noise ordinances.

XXXI. GUESTS. There shall be no other persons living on the Premises other than any authorized by Tenant. Guests of the Tenant are allowed to visit and stay on the Premises for a period of no more than one month, unless the Landlord approves otherwise ("Guest(s)").

XXXII. SMOKING POLICY. Smoking is allowed outside the premises. Tenant will make sure to dispose of any debris from smoking appropriately.

XXXIII. COMPLIANCE WITH LAW. For the entire duration of the Lease Term, the Tenant agrees to comply with any present and future laws, ordinances, orders, rules, regulations, and requirements of the federal, state, county, city, and municipal governments or any of their departments, bureaus, boards, commissions, and officials thereof with respect to the Premises, or the use or occupancy thereof, whether said compliance shall be ordered or directed to or against the Tenant(s), the Landlord, or both.

XXXIV. DEFAULT. If the Tenant fails to comply with any of the financial, material, or miscellaneous provisions of this Agreement, or any present rules and regulations of the tenancy under this Agreement in general that may be hereafter prescribed by the Landlord, or materially fails to comply with any duties imposed on the Tenant by statute, regulations, ordinances, orders, or any other mandates imposed by federal, state, and local governments, within the timeframe after delivery of a written notice to quit by the Landlord specifying noncompliance with this Agreement and indicating the

intention of the Landlord to terminate the Agreement by reason thereof, the Landlord may terminate this Agreement. If the Tenant fails to pay Rent upon the Rent Due Date, and the default continues for the timeframe specified in the written notice to quit thereafter, the Landlord may, at their option, declare the entire balance (compiling all months applicable to this Agreement) of Rent payable hereunder to be immediately due. The Landlord may exercise any and all rights and remedies available to the Landlord at law or in equity, and the Landlord may terminate this Agreement immediately by exercising the rights and remedies thereof.

The Tenant shall be in default if any of the following applies: (a) Tenant does not pay Rent on the Rent Due Date and after the state or locally-mandated grace period, if any, or if the Tenant fails to pay any other dues owed in accordance with respective local and state laws and this Agreement; (b) Tenant, Occupant(s), or any Guest(s) thereof, violate the terms and conditions of this Agreement, or any local ordinances, fire-safety or health codes, or violate any criminal laws, regardless of whether arrest or conviction occurs; (c) Tenant abandons the Premises as described in Section XX of this Agreement; (d) Tenant, Occupant(s), or Guest(s) thereof, is arrested, convicted, or given deferred adjudication for a criminal offense involving actual or potential physical harm to a person, or involving possession, manufacture, or delivery of a controlled substance, marijuana, or drug paraphernalia under state statute; (f) any illegal drugs or paraphernalia are found in the Premises or on the person of the Tenant, Occupant(s), or Guest(s) thereof, while on the Premises; and (g) as otherwise allowed by local, state, and federal law.

XXXV. MULTIPLE TENANT(S) OR OCCUPANT(S). Each individual that is considered a Tenant(s) or Occupant(s) in this Agreement is jointly and individually liable for all of this Agreement's obligations, including but not limited to Rent monies. If any Tenant(s), Occupant(s), or gues(ts) thereof, violates this Agreement, the Tenant(s) is considered to have violated this Agreement. Landlord's requests and notices to the Tenant(s) or any of the Occupant(s) of legal age constitutes notice to the Tenant(s). Notices and requests from the Tenant(s), or anyone of the Occupant(s), including repair requests and entry permissions, constitutes notice from the Tenant(s). In eviction suits, the Tenant(s) is considered the agent of the Premises for the service of process.

XXXVI. DISPUTES. If a dispute arises during or after the Lease Term between the Landlord and Sierra HOPE, they shall agree to hold negotiations amongst themselves in "good faith" before any litigation.

XXXVII. SEVERABILITY. If any provision of this Agreement or the application thereof shall, for any reason and to any extent, be invalid or unenforceable, neither the remainder of this Agreement, nor the application of the provision to other persons, entities, or circumstances shall be affected thereby, but instead, shall be enforced to the maximum extent permitted by law.

XXXVIII. SURRENDER OF PREMISES. The Tenant has surrendered the Premises when (a) the move-out date has passed and no persons are living in the Premises within the Landlord's reasonable judgment, or (b) access to the Premises has been turned to Landlord, whichever of (a) or (b) comes

first. Upon the expiration of the lease, the Tenant(s) shall surrender the Premises in better or equal condition as it was at the commencement of this Agreement, albeit with reasonable use, wear-and-tear, and damages caused by the natural elements excepted.

XXXIX. RETALIATION. The Landlord is prohibited from making any type of retaliatory acts against the Tenant, including, but not limited to, restricting access to the Premises, decreasing or canceling Utilities and Services, failure to repair Appliances and Fixtures, or any other deliberate acts that could be considered unjustified and retaliatory against the Tenant.

XL. WAIVER. The Landlord's waiver of a breach of any covenant or duty imposed on the Tenant under this Agreement shall not constitute, or be construed as, a waiver of a breach of any other covenant or duty imposed on the Tenant, or of any subsequent breach of the same covenant or duty. No provision, covenant, or clause of this Agreement shall be considered waived unless such a waiver is expressed in writing as a formal amendment to this Agreement and executed by the Tenant and Landlord.

XLI. EQUAL OPPORTUNITY. The Landlord shall make reasonable accommodations in rules, policies, practices, and services under this Agreement for Tenant(s) or Occupant(s) with a proven record of a physical or mental "handicap" as defined in 42 U.S.C.A. §§ 3604-3607 ("Handicaps"), provided such accommodations are reasonably within the Landlord's financial and practical means. The Landlord may issue consent to the Tenant(s) to make reasonable modifications to the Premises, at the Tenant(s) expense, to afford the Tenant(s) or any Occupant(s) with Handicaps the full enjoyment of the Premises. Any Handicaps of the Tenant(s) or Occupant(s) should be disclosed and presented to the Landlord, in writing, in order to seek the most appropriate route for providing any accommodations to the Premises. Landlord shall not discriminate against the Tenant(s) with Handicaps during the course of the Lease Term or in the rental application process. Further, the Landlord shall not discriminate against the Tenant(s) during the Lease Term or in the rental application process based on race, color, national origin, religion, sex, familial status, or any other status protected by law.

XLII. HAZARDOUS MATERIALS. The Tenant(s) agrees not to possess any type of personal property that could be considered a fire hazard on the Premises, such as a substance with highly flammable or explosive characteristics. Items prohibited from being brought into the Premises, other than for everyday cooking or those needed for operating an appliance, includes, but is not limited to, compressed gas, gasoline, fuel, propane, kerosene, motor oil, fireworks, or any other similar item or related substance in the form of a liquid, solid, or gas.

XLIII. WATERBEDS. The Tenant is not permitted to furnish the Premises with waterbeds.

XLIV. INDEMNIFICATION. The Landlord shall not be liable for any damage or injury to the Tenant, Occupant(s), any Guest(s), or any other persons, nor shall Landlord be liable for any damage to any property that occurs on the Premises, its surrounding areas, or any part thereof, and Tenant agrees to hold the Landlord harmless from any claims or damages unless caused solely by the Landlord's negligence.

XLV. COVENANTS. The covenants and conditions herein contained shall apply to and bind the heirs, legal representatives, and assigns of the parties hereto, and all covenants are to be construed as conditions of this Agreement.

XLVI. NOTICES. Any notice sent from the Landlord or Tenant to the other party shall be addressed to the underneath mailing addresses.

Landlord's Mailing Address and Contact Information:

Heryford Investments, LLC, ATTN. James Heryford
Post Office Box 1722, Murphys, California, 95247-1722
Phone Number: (209) 768-9866
Email: jim@goldelectricinc.com

Tenant's(s') Mailing Address: Scott Klann
c/o Newsome Harlow Winery
107 Emerald Creek Road
Murphys, CA 95247

Landlord's Agent / Property Manager: The Landlord does not have or otherwise authorize an agent or property manager, and all contact with regards to any repair, maintenance, or complaint must be communicated directly to the Landlord using the above-mentioned contact information.

XLVII. PREMISES DEEMED UNINHABITABLE. If the Premises is deemed uninhabitable due to damages beyond reasonable repair, Sierra HOPE shall be able to terminate this Agreement by written notice to the Landlord. If said damage was caused by negligence of the Tenant, Occupant(s), or their Guest(s), and the Tenant shall be liable to the Landlord for all pertinent repairs and for the loss of income due to restoring the Premises back to a livable condition in addition to any other losses that can be proved by the Landlord.

XLVIII. SERVICEMEMBERS CIVIL RELIEF ACT. In the event the Tenant is currently, or hereafter becomes, a member of the United States Armed Forces on extended active duty and hereafter the Tenant receives permanent change of station (PCS) orders to depart from the area where the Premises is located, or is relieved from active duty, retires or separates from the military, is ordered into military housing, or receives deployment orders, then in any of these events, Sierra HOPE may terminate this Agreement by giving thirty (30) days' written notice to the Landlord. The Tenant shall also furnish unto the Landlord a copy of the official orders, or a letter signed by the commanding officer of the Tenant, reflecting the change that warrants termination of this Agreement under this clause. Sierra HOPE shall pay prorated Rent for any days in which the Tenant occupies the Premises past the beginning of the Lease Term. Further, any Security Deposit shall be returned, deducted, or otherwise retained in accordance with Section XIV of this Agreement.

XLIX. LEAD-BASED PAINT. The Premises was entirely remodeled and renovated in 2018 and therefore does not contain lead-based paint.

L. GOVERNING LAW. This Agreement shall be subject to and governed by the laws of the State of California.

LI. AGENCY RELATIONSHIP. Neither the Landlord nor Tenant utilized the services of a real estate agency or a real estate agent to negotiate, draft, or execute this Agreement.

LII. ADDITIONAL TERMS AND CONDITIONS. There are no further terms or conditions that will be added to this Agreement other than any attachments or addendums attached.

LIII. OTHER DISCLOSURES. Landlord hereby informs and notifies the Tenant, who acknowledges the disclosures hereunder by executing this Agreement, of the following:

Megan's Law Disclosure. NOTICE: Pursuant to Section 290.46 of the Penal Code, information about specified registered sex offenders is made available to the public via an Internet Web site maintained by the Department of Justice at www.meganslaw.ca.gov. Depending on an offender's criminal history, this information will include either the address at which the offender resides or the community of residence and ZIP Code in which the offender resides.

Bed Bug Disclosure. The Landlord shall not enter this Agreement if they are aware of a current bed bug infestation at or on the Premises. There is no duty on the Landlord to inspect the Premises unless the Landlord has notice of a suspected or actual bed bug infestation. If a visual inspection shows evidence of an infestation, then the Landlord is deemed to have notice. The Tenant(s) is further notified of an attachment to this Agreement, entitled "*Information About Bed Bugs*," in which the Tenant(s) may review general information about bed bug identification, behavior and biology, the importance of cooperation for prevention and treatment, and the importance of and for prompt written reporting of suspected infestations to the Landlord.

Rent Control. NOTICE: California law limits the amount your rent can be increased. See Section 1947.12 of the Civil Code for more information. California law also provides that after all of the tenants have continuously and lawfully occupied the property for 12 months or more or at least one of the tenants has continuously and lawfully occupied the property for 24 months or more, a landlord must provide a statement of cause in any notice to terminate a tenancy. See Section 1946.2 of the Civil Code for more information.

Smoke and Carbon Monoxide Detectors. The Landlord shall ensure that smoke alarms are installed and operable, at the time the Lease Term begins, in accordance with Section 13113.7 of the California Health and Safety Code. Upon the start of the Lease Term, the Tenant shall be responsible for notifying the Landlord if a smoke alarm in the Premises is inoperable. Additionally, the Premises must be equipped with carbon monoxide detectors if it contains therein a fossil fuel burning heater or appliance, fireplace, or an attached garage.

Mold Disclosure. The Landlord does NOT know, nor does the Landlord have reason to believe, that mold is present in the Premises as determined in Section 26147 of the California Health and Safety Code. Notwithstanding, and subject to Section 26148 thereof, the Landlord has furnished the Tenant with the consumer-booklet disseminated by the California Department of Public Health, entitled "Mold or Moisture in My Home: What Do I Do?" by attaching it to this Agreement.

Pest Control. If the Landlord or Landlord's Agent, if any, should apply pesticides without a licensed pest control operator at the Premises, any of the Premises's common areas, or to any adjacent dwelling units thereof, the Landlord shall issue Sierra HOPE and the Tenant proper and written notice as prescribed in Section 1940.7 of the California Civil Code.

Water-Conserving Plumbing Fixtures. Landlord confirms the Premises is equipped with water-conserving plumbing fixtures (toilets, showerheads, and faucets) as required under Sections 1101.4 and 1101.5 of the California Civil Code.

Flood Disclosure. The Landlord has NO ACTUAL KNOWLEDGE that the Premises is located in a special flood hazard area or an area of potential flooding. The Landlord's insurance does not cover the loss of personal possessions of the Tenant, and it is recommended that the Tenant consider purchasing renter's insurance and flood insurance to insure their possessions from loss due to fire, flood, or other risk of loss. The Tenant may obtain information about hazards, including flood hazards, that may affect the Premises from the website of the Office of Emergency Services (<https://myhazards.caloes.ca.gov/>). The Landlord is not required to provide additional information concerning the flood hazards to the Premises, and the information provided herein is deemed adequate to inform the Tenant pursuant to Section 8589.45 of the California Government Code.

LIV. ENTIRE AGREEMENT. This Agreement contains all the terms, conditions, covenants, and provisions agreed on by the Landlord, Sierra HOPE, the Tenant and any other relevant party to this Agreement, relating to its subject matter, including any attachments or addendums. This Agreement replaces any and all previous discussions, understandings, and oral agreements. The Landlord and Tenant agree to this Agreement and shall be bound by it from month to month.

The parties have agreed and duly executed this Agreement on January 1, 2025.

Landlord's Signature: _____

James Heryford as CEO of Heryford Investments, LLC

Tenant's Signature _____

Scott Klann

ATTACHMENT 1

ESTIMATED COSTS

Base Rent	\$ 3,000.00
UPUD (will bill actual invoice)	101.00 approx
Murphys San. District (will bill actual invoice)	60.00 approx.
Property Taxes (square footage divided by 12 and split)	249.00
Insurance (square footage divided by 12 and split)	500.14
SUBTOTAL:	\$ 3,900.14
P.G. & E.	By Tenant
Propane (if any)	By Tenant
Garbage	By Tenant